Agent, Successor, Trustee, Beneficiary, Life Estate: The Legal Words You'll Meet in Dad's Papers

Nineteen words in one plain line each, and what to write down when you see one.

Dad's papers are full of words that everyone in an attorney's office seems to know already. These are the ones you're most likely to meet, each with one plain line from a public source and what to write down when you see it.

The definitions are for following the conversation. They aren't for working out what Dad's papers allow. Where the public sources don't define a word, this sheet says so and leaves it for an attorney.

Powers of attorney

Power of attorney (POA)

A legal document that allows someone else to act on your behalf. [1]

WRITE DOWN Whether Dad has one, the date he signed it, and where the original is kept.

Principal

The person who made the power of attorney. [2]

WRITE DOWN The name exactly as it appears on the document.

Agent (attorney-in-fact)

The person named in a power of attorney to act for the principal. Attorney-in-fact is another name for the same role. [2]

WRITE DOWN Who the document names, copied from the page and not from memory.

Successor agent

A person named to act if the agent is not able to. A successor has no authority while the first agent is still willing and able to act. [2]

WRITE DOWN Whether one is named, and who.

Durable

Describes a power of attorney that may continue to be effective if the person can no longer make decisions. What the word means in Dad's own document is a question for an elder law attorney. [1]

WRITE DOWN Whether the word appears on Dad's document.

Health care papers

Advance directive

A legal document that allows a person to spell out decisions about end-of-life care ahead of time. [3]

WRITE DOWN Which ones Dad has signed, when, and who holds copies.

Living will

Part of an advance directive. It spells out a person's wishes about emergency care and life-sustaining treatment if they cannot communicate. [4]

WRITE DOWN Whether Dad has one, and its date.

Health care power of attorney

A document that gives someone authority to make health care decisions. MedlinePlus calls it a durable power of attorney for health care. [5] [3]

WRITE DOWN Whether it is a separate paper from the financial one, and its date.

Health care proxy (health care agent)

The person named in a health care power of attorney: someone trusted to make health decisions for a person who is unable to make them. [3] [4]

WRITE DOWN Who Dad has named, and whether they know.

Wills and trusts

Will

One of the papers to locate at this step. The public sources behind this sheet name it without defining it. AARP's legal checklist suggests reviewing a will every few years or during major life changes, so that it reflects the person's wishes. [4]

WRITE DOWN The date on Dad's current will, and where it is kept.

Revocable living trust

A legal document that gives a trustee authority to make decisions about the money or property in the trust if the person who made it can't, and says who gets what is in the trust after the person dies. [5]

WRITE DOWN Whether Dad has one, its date, and its exact name.

Settlor, grantor or trustor

Three names for the person who makes a trust. [6]

WRITE DOWN The name on the document.

Trustee

The person who makes decisions about the money or property in a trust. A trustee can manage only what is in the trust, not the person's other assets. [5]

WRITE DOWN Who is named.

Successor trustee

A person who may also be named, and who acts only if a trustee can no longer fill that role. [6]

WRITE DOWN Whether one is named, and who.

Beneficiary

A person who receives money or property from a trust. The word also appears on other papers, such as insurance policies and retirement plans. [6] [1]

WRITE DOWN Who is named, and on which paper.

Irrevocable trust

A different kind of trust from the revocable living trust above. The Consumer Financial Protection Bureau's guide for trustees notes that other types of trusts exist and that people have different reasons for making them. This sheet doesn't define this one. [6]

WRITE DOWN Where the word appears in Dad's papers, as a question for an elder law attorney.

Property and ownership

Joint account

An account where the money is jointly owned, and the joint account holder automatically gets the money when the other owner dies. [5]

WRITE DOWN Which accounts have a second name on them, and whose.

Deed

A property document, and one of the papers to locate at this step. The public sources behind this sheet don't explain deeds, so this sheet doesn't either.

WRITE DOWN Where the deed is, and whose names are on it as far as you can see.

Life estate

One of the property-ownership arrangements that may come up at this step. The public sources behind this sheet don't define it. An elder law attorney can say what it means in Dad's papers.

WRITE DOWN Where you saw the words, and on which paper.

What this sheet doesn't do

It defines words in general terms. It doesn't tell you what Dad's papers allow, whether any of them is valid or enough, or which tools belong in his plan, and it isn't legal, financial or tax advice. Those answers come from an elder law attorney who knows his state.

Ready for the next step?

You can follow the words in Dad's papers now. The planning interview turns from the words to your family: it asks about your situation and gives you a free planning report you can bring to any conversation about paying for care.

Get Your Free Planning Report ›

WHERE THIS COMES FROM

1. Consumer Financial Protection Bureau, What is a power of attorney (POA)?
2. Consumer Financial Protection Bureau, Managing someone else's money: Help for agents under a power of attorney
3. MedlinePlus (National Library of Medicine), Advance Directives
4. AARP, A Legal Checklist for Family Caregivers
5. Consumer Financial Protection Bureau, Considering a financial caregiver? Know your options
6. Consumer Financial Protection Bureau, Managing someone else's money: Help for trustees under a revocable living trust